MGMT 205- Final Reflection
(last updated: Spring 2025)
(15% of semester grade)

I don't want you to ***worship*** money or ***fear*** money, but rather have a healthy respect for what it can and can't do for you. It is simply a tool.   Like other tools, if handled properly, it can help you to achieve your goals. If handled improperly, it can create stress, anxiety, and set you back from reaching your goals.

This course was just an introduction to the core areas of personal finance: saving, investing, debt, and insurance, as well as taxation and estate planning.   I hope what you have learned this semester has given you confidence in your ability to continue learning about personal finance and to make wise financial decisions in the future. Some of the websites that I trust, and pulled articles from included https://www.nerdwallet.com/, https://clark.com/, and https://www.thebalance.com/.   I hope you use these websites, and others, to continue learning.   I also hope that you use these websites to revisit topics as they become more salient in your life.   We also used the book "Your Money Ratios" which took a more conservative stance on investing.   I also suggest reading "The Simple Path to Wealth" by J.L. Collins if you want a less conservative stance. I also enjoyed reading "Quit like a Millionaire" by Kristy Shen and Bryce Leung.

Please feel free to share any of the resources from this class with your friends, siblings, and peers.   Financial literacy is so important, and by sharing it, you can help others.

I truly wish each of you the best in your future!

Final look back and Reflection

Take about one hour to complete the following 4 and then upload this document to Canvas. Please complete it by the last day of classes though I would be happy to receive your submissions sooner. 😊

<u>Part 1</u>:

Complete both the CWRU course evaluation and online feedback survey linked posted in canvas.   This evaluation is used by CWRU for SIS and by the Dean of the Weatherhead School of Management for my performance evaluation.

__X__   I completed the CWRU course evaluation (Link sent by CWRU).

__X__   I completed the course feedback survey. (Link on canvas)

<u>Part 2:</u>

Combine all your personal finance journal entries into one single file (pdf or word). If you completed them all in word, you may **copy them to the end of this document** or just combine them as a separate document titled My Personal Finance Journal and submit it with this document as part of your Final Reflection.

<u>Part 3:</u>

Throughout this course, you had the opportunity to learn about personal finance through my lectures and recommendations, readings, videos, the budgeting game, and interviews with financially successful people and life application activities. In 1-2 paragraphs, tell me your *own personal* big take away from the class. For example, in what way(s) did taking this course change your knowledge or perceptions about personal finance, or what really struck home with you? When you look back at this course, what do you think you'll remember and really try to implement in your own life?

One of my biggest takeaways from this course is the importance of making deliberate and well-thought-out financial decisions. At the start of the semester, I had a vague awareness of budgeting and saving ideas/tips, but I did not fully understand the long-term impact short-term financial decisions can have on your goals. The budgeting game and life application activities were particularly influential for me, showing me what my personal situation entails (in terms of the life apps) and what I can try to do to become more financially successful in an ideal world (in terms of the budgeting game). The required activities were specifically important to me, encouraging meaningful conversations between loved ones, while also showing me what my money could be doing for me if I start saving for retirement early.

That last point leads me into what really struck home for me. This class has shown me just how important it is to start early, especially regarding saving and investing. Hearing from financially successful individuals in my family and in class, as well as completing life application activities related to TVM, has shown me that financial freedom is not only determined by what you make, but also what you save. I think that when I look back on this course, I'll remember how eye-opening it was to see how much wealth can build if you plan out your finances throughout life. I plan to continue using the budgeting tools I developed in this course as I move forward with my personal and professional life.

Part 4:

Choose 2 *specific* topics from the class (see weekly topics on Canvas or in the syllabus or review your personal finance journal). For each topic, tell me the most important facts/issues/advice you would tell your friends and peers if given the chance. ***What*** would you want them to know about the subject and ***why*** is it important? For each topic, provide a write-up or executive summary written to them. Your score will be based on accuracy, clarity, and effectiveness of the overall communication. There is no set limit for length of your write-ups on each topic; however, it should be long enough to provide a complete and understandable message to the reader.

Topic #1: Debt and Credit Cards (Week 3)

What I would tell my friend and peers and **why** it is important:

If I could give you one warning about personal finance, it is that credit cards can quietly ruin your financial future if you're not careful. Lots of people our age are under the misconception that credit cards can be used as free money/a backup plan if immediate funds are low. While this is technically true in the short term, they're often caught off guard at the end of the month, not having enough money to pay off their debt. Some even decide to carry a balance, but this can truly snowball into uncontrollable debt if they're not careful. These days, credit cards often come with high interest rates, sometimes up to 27 percent. This means that, if you don't pay your statement balance by the end of the month, the original amount you borrowed (which is exactly what using a credit card does) increases according to your cards annual percentage rate (APR). This can result in you paying hundreds or thousands more, depending on the size of the original purchase amount.

While all of this sounds bad, credit cards can be an extremely powerful tool if you use them wisely/correctly. That entails paying the full balance every month, never missing a payment, and being sure to keep an eye on your credit limit (try not to max out your limit unless ABSOLUTELY necessary). If you can do all this consistently, then you will build your credit score over time. This metric is used from everything to searching for an apartment to applying for insurance in the future. If you can maintain a good credit score now, around 700 if possible, then you will be thanking yourself in the future when trying to make larger financial decisions that require financing or loans. Another thing you should do is only put what you can pay on your credit card. Unless you really know what you're doing, you should not be skipping payments or paying the minimum balance only. Ultimately, managing credit responsibility now sets you up for lower interest rates for your expenses in the future, enabling financial flexibility later. Credit isn't evil, you just need to respect it.

Topic #2: Retirement Savings and TVM (Week 4)

What I would tell my friend and peers and **why** it is important:

One of the most important things I learned through taking this personal finance course is the concept of Time Value of Money (TVM). It completely changed how I think about saving and investing. I can summarize it as: A dollar today is *technically* worth more than a dollar tomorrow. This might seem odd a first glance, and you might ask, "how could that make sense if inflation keeps driving prices up". While that is true, I want you to think about investing/saving that money. If you were to take some money today and put it into an account that grows over time, you would observe that money's potential to grow exponentially overtime through compound interest and investment returns. All that to say, you should start investing/saving your money, like yesterday! Even small contributions over a long period of time can make a huge difference thanks to the power of compounding.

TVM leads into a closely related topic, which is saving for retirement. Many people think that retirement is something that we only need to worry about when we get older, and while you obviously won't retire next year, you'll want to have more than just social security to rely on in the future. The earlier that you start saving for retirement, the better off you'll be when the time comes. Just to put into perspective how important saving can be, if you invest $100/month starting at 21 when you graduate, you'll be much better off than someone who invests twice that amount but starts 10 years later. I urge you to look at your employer's retirement planning and contribution matching policy, as it's literally free money from your employer! It's not just about having *some* money when you're older, it's about being able to live at a high fraction of the quality of living you experienced when you were actively working. You should aim to live off 60-70% of your income right now and should try and set goals accordingly. I want you to have financial freedom and security when it comes time to retire. Don't miss out on these key years; time is your biggest asset, and once it is gone you can never get it back!

My Personal Finance Journal

Week #2

Topic: Saving and Spending Habits

Response: This week we discussed the importance of saving money, even if it's just a little bit every day. What struck me the most is how much you could accumulate if you played a game like the $5 game, or just put some money towards a savings account every time you would've originally bought a specialty drink. During high school and the summer leading up to my freshman year, I would spend a consistent amount of money on drinks like pop and bubble tea. These drinks would probably average to around $5 a day per day of the week during the summer months. Seeing how $4 a day for a year accumulates to $1,460 a year, I just wish I had also put some of that money aside instead of getting all of those specialty drinks. I want to share this with my younger siblings, as I don't want them developing bad habits in their high school years and not building up a savings account from an early age. I also would like to share this with my friends as I know we all enjoy getting little treats for ourselves, and while it isn't nearly as common now (once every few weeks), it still adds up. If we could start building a 'collective' amount of saved money then our goals for our apartment would be much easier to realize. This inspiration is directly from the assigned 'reading' titled "The Latte Habit".

Next semester, I am doing a co-op with an engineering company, and will be making money over ~4 months. Before this, I'll also be researching on campus, staying over the summer in the previously mentioned apartment. Due to reading the $5 game article, I am going to make it my goal to save increments of $10 a week during the entire period (from June's research to the end of the Fall Co-op). I will not have many expenses other than rent/utilities and occasional grocery trips, so I believe this should be doable. I should save $270 for the last week of this game, putting my total savings for the time period just under $4,000. I believe this will be good for me financially in the long run, especially since my family and I will be going on a larger trip over winter break.

This week has been very influential for my financial goals and I hope to be even more positively influenced as the semester goes on!

Week #3

Topic: Debt and Credit Cards

Personal Finance Journal Entry:

This week we discussed debt and credit cards/history/score. I found this week particularly helpful as I did not start using a credit card until the end of high school. I haven't learned much about credit cards since then, so this week was invaluable. Over the course of the rest of my life, I will start to do credit checks every 4 months with the three different institutions. Before this week, I had no idea that this was even an option, and will take advantage of it as soon as possible.

My friends on campus are financially literate, but I would like to share with my younger siblings the benefits of having a credit card. I would go to my parents and see if there's a way for them to hold a joint account so that they can increase their credit score. I wish that I had learned about credit earlier, and from the conversations I've had with my parents, they seem to be on board with finding a teen-based card for my sisters.

I was particularly surprised by the fact that employers are checking the credit reports of their new hires/applicants. This seems unnecessary to me, and I feel like it would only really be something to look at for financial based companies. I may be missing something here, but I feel like that check is just a weird way to keep people out of a job.

Overall, this week was great for me, reinforcing good habits of mine while teaching me about some things that I can take advantage of to better my finances.

Week #4

Topic: Retirement Savings and TVM

Personal Finance Journal Entry:

This week we talked about Retirement Savings and TVM. I again found this week very helpful as I have been very confused about retirement savings throughout my adult life. My parents haven't shared any tips about savings for retirement, so it has been a point of confusion for me. I have never known how much I should save, nor have I ever understood what Social Security actually is. Having a percentage range of how much to save while I am working up to retirement is very helpful for me and will set me up well for retirement. My mom has always been into retirement accounts but hasn't shared anything with me, so I will encourage her to tell my younger sisters about the benefits of them. My dad has consistently expressed his disinterest in setting up a retirement account, so I hope my mom and I can try to 'convert' him by explaining some benefits. It has been hard for my family to maintain a budget due to so many random expenses, but that is also something I hope to encourage them to do. As I start working as an intern or in a real position post-graduation, I will keep in mind the 12% to 15% range that I should be saving.

While I feel I would've figured out some of the topics on my own, I think hearing them in person and reading them will greatly benefit my adult life.

Week #5

Topic: Types of Retirement Accounts

Personal Finance Journal Entry:

This week we discussed different types of retirement accounts and how different saving strategies are handled by both you and your employers to impact your retirement life in various ways. This week was less about things I had never heard of from the people around me, but what they actually mean or do in the background. I have always heard people around me talking about the topics from this week, so this week was more understanding what they were actually talking about. Understanding what exactly a 401k or 403b is and where the name comes from was very good to learn about for me, especially as my parents don't talk about retirement much (as indicated last week). Also, learning about the nature of tax advantaged and non-tax advantaged accounts was very impactful for my financial development. Moreover, understanding what my paychecks have meant by medicare and retirement deductions is great for me. I have always understood that it would come back to me eventually, but seeing numeric values through tables was great for me, as I am driven by numbers in my day to day life.

This week has motivated me to look into personal retirement accounts like a Roth IRA and to also share the idea with my younger siblings. Seeing the information presented this week in numeric form was very helpful for me, and will keep me from tripping over my feet when I enter the adult world and try to start planning for retirement.

Week #6

Topic: Investing

Personal Finance Journal Entry:

This week we discussed Investing and how it can play into saving for retirement. This topic/conversation was again great for me due to my unease when it comes to investing. My dad has always tried to get me into investing with a shared account, but I was always too fearful of placing my money into things like that, but this week's discussion really helped me reduce that fear. Due to my fear, I have placed little money into investments and thus have not had my money growing on the side. Seeing how much investing can help finances in retirement, I am going to start to diversify my investments and take on some more risk. Keeping in mind the rule of thumb from class (Advisor 1), I am going to have about 90% of my investments in equities, and the rest in bonds and cash. While I am a college student who is not *currently* working and hence does not have much money, I can look towards the future and plan out some investments. Once I start making money over the summer and next semester through my co-op, I will be sure to make use of the investment ideas presented in this week's lecture.

I now realize that I should've invested with my dad years ago, or at least taken a closer look at what he was talking about. All I can do now is invest now on my own (with his help if needed). I will be making use of this week's topic for years to come, as I begin planning for retirement and grow my money.

Week #7

Topic: Investing 2

Personal Finance Journal Entry:

This week we continued our conversation about investing, but with the focus on building your portfolio and percentages of your portfolio that should be in different investment vehicles. This week was also impactful for me in terms of the lecture and the “Building your Portfolio” life application activity. These discussions educated me on what I should expect from my investment vehicles, and what I should be putting into them in order to achieve my financial goals. In my past investments, although very low, I would put less into my stocks and also frequently check my investments and how they were progressing. This would discourage me from putting more into the market because I wasn’t seeing changes quickly. This was discussed in class, where it was mentioned that checking every day won’t do anything as investments are about fulfilling long term goals. With the life application activity this week, I found that I should be investing around 70% of my portfolio into stocks, whereas I thought I should be between 30 and 50%.

This week has been very good for me and my financial future, and I will be sure to share this information and some ‘helper sites’ with my friends and family. The one thing that I have learned is that investments, when done right and over the right amount of time, can be very beneficial to your future and hence I would like to share this with people I care about.

Week #8

Topic: Debt

Personal Finance Journal Entry:

This past week we discussed debt. While this is not something that is immediately pressing to me, I did find the conversation very insightful as I know I will be taking on student loans. Moreover, I know that my parents have debt in the form of student loans as well, so hearing about ideal ways to manage debt could be useful to them if they have any questions. I also would like to buy a home at some point in the future, but I have never known the numbers behind doing such a thing. Seeing the percentages of pre-taxed income that you should be putting, at a maximum, into mortgage payments will be very helpful to me once I’m financially stable and out of college. This information will also be very useful if I am planning on living with anyone, as we’ll have a better grasp on what monthly payments should look like. The discussion on mortgage was particularly interesting to me because I have always heard my dad talk about mortgage but have never known what he meant, nor how it added up over the years. Seeing the breakdown of interest rates compared to time spent paying off loans, not only mortgages, has shown me just what can happen the longer you have something waiting to be paid off. This week has again been very useful for my financial future, and I will be sure to track my debt over time and keep an eye on the interest that I am paying.

Week #9

Topic: Cars - Buying or Leasing

Personal Finance Journal Entry:

This week's topic was almost immediately applicable to my current situation. As I have discussed in previous weeks, I will be taking a semester off in the fall to work for Applied Medical Technology as a Process Engineer Coop. Additionally, I will be staying in Cleveland over the summer to participate in summer research. Both of these require me to have some form of reliable transportation for the purpose of getting food year round, and getting to and from work in the fall. My parents and I have been talking about what makes the most sense when it comes to my car situation, as I do not currently have one. I have always driven a shared car at home, so we have had to do much thinking about the most cost effective way to get a car. For as long as I remember, my parents have been leasing cars. I grew up with a car that they bought from a friend, but after its time was up, they started leasing. Currently, my dad drives a minivan that he bought out of its lease about 7 years ago. My mom, on the other hand, has a leased car which expires this year. Additionally, we have a 3rd car that I share with my sister when I am home. My parents were initially looking at a short term lease for me for the next year or so, but after this week's discussion and some deeper thought on what a lease would mean for me, we have gotten much closer to buying used. The content this week, especially discussing the pros and cons of leasing vs. buying has definitely swayed my opinion, as I have always thought leasing was the better option objectively as my parents have always been so heavy on it. Seeing the other side of the argument, and especially those on the polar opposite side like the video shown in class, has shown me that buying a car can sometimes be the better option. I am grateful for the timing of this lecture, as it perfectly lines up with a current discussion in my life.

Week #10

Topic: Property Insurance

Personal Finance Journal Entry:

I did not find this week particularly interesting or useful to my financial state, but I can see some of the information coming in handy down the line. As a young adult who lives in a dorm, all of my insurance is covered by my parents. Even next year when I move into an apartment, me and my friends will collectively handle renters insurance and it won't really need to be something at the front of my mind. This is in part due to the fact that I am required to have it to live in my apartment so there wasn't much thinking to do there. Another reason insurance isn't very interesting to me is because I have heard my grandma talk about it all the time. She was an insurance agent and would often come back and talk about silly things people thought or said. The only immediately useful thing discussed was about auto insurance, as I am looking to purchase a car in the near future. Accidents happen, so understanding the ins and outs of my car insurance is a must. Also, seeing the logistics of deductibles was nice, as I have always heard the word from my parents and family friends, but I never quite understood what it meant. There isn't really anything I feel I need to share with the people around me regarding this week's content, as my family has always been pretty verbal about insurance and on top of their coverage.

Week #11

Topic: Life, Disability, and Health Insurance

Personal Finance Journal Entry:

This week will be more helpful when I get older and further into my life. As I mentioned last week, there is not much insurance wise that I have to worry about at this stage of my life. Despite the lack of immediate relevance to me, I still found the topic interesting as it will be helpful once I'm older. Currently, I have no dependents, am single, and not retired, so life insurance doesn't make much sense for me at this stage of my life. That being said, I do now wonder what life insurance plans my grandparents and potentially parents have, and I will most likely ask them what they've done in terms of these plans throughout their lives. The discussion about life insurance also provided some numerical estimates on what to pay towards it in the future. In terms of disability insurance, I was shocked to see how high of a chance it is to become disabled at some point in my life. With the 1/8 figure in mind, I will definitely put more thought into this type of insurance. Finally, seeing what an actual health insurance plan might look like was very helpful to me, as I have always heard about health insurance and how it handles deductibles and medical expenses, but have never really known the ins and outs of it. While I won't need to worry about this for another few years, seeing a real-life example will be very helpful to my future self. There's not much I really have to share regarding these topics to my friends, as we are all too young to worry about them.

Week #12

Topic: Tax Deductions and Credits

Personal Finance Journal Entry:

This week was incredibly helpful to me. The main focus of this week was the required life activity, and it was great to walk through and see exactly how everything could play out in my first year after college. Throughout this semester, we have covered topics of income, healthcare, tax, and more. Through life applications, I have seen how these can be applicable to my life, but nothing has been as personal as this week. I found that the required life activity this week greatly helped me understand what I will have to work with out of college, assuming I make the average salary for Chemical Engineers in Cleveland, OH. Due to the usefulness of this activity, I will be sharing the spreadsheet with the information/directions to my friends and family (once they are college age). This class has shown me just how important financial planning is, and I wouldn't want them to miss out on such a helpful tool. This week also taught me a lot about how the tax system works. I have never done anything tax related myself as my dad always covers my tax returns. After this week, I now may be able to sit with him while he files my taxes and understand what he's doing. Also, seeing the way that tax brackets are structured and the formulas for federal and state taxes explains where those deductions from my gross income on my paychecks came from. Overall, this week has been great for my understanding of the tax system and for understanding my forecasted finances post-graduation.

Week #13

Topic: Estate Planning and Family Wealth Transfer

Personal Finance Journal Entry:

This week, while not immediately helpful to me or most of my immediate family and friends, was still good for clearing up some confusion on my end. Ever since I started thinking about college, I have seen more and more of the financial side of my family. Specifically, I have learned about the Swan estate on my dads side. I have never really known much about it, except that it was created to handle royalties that my deceased great grandfather raked in through his involvement with DC Comics. Learning about what had to go into that process was cool for me, and understanding the ins and outs of family wealth transfer will be helpful for me once that time comes. One of the things I didn't understand from this week was some of the legality of wills. It seems like there is a lot that goes into a will, and I would like to look into that more when I have to write one. I know I can also go to some older members of my family to seek some clarification as well. While the content this week was sensitive and I believe it was handled well, I would've been more involved in the content if the "what would you do if you died tomorrow" question was phrased differently. This question, while great for someone later in life, seemed to be more of a joke/silly question to the people around me. If this was phrased more as a "in the future when you have x and y and z, what would be the first thing you did if you found out you would die the next day". This would be a more engaging question for me, in my opinion, and also still avoids making people think about what they would do if they found out a loved one would die the next day. Despite this disagreement in how that question was presented, I still believe the lecture was well structured and contained information that will be helpful in the distant future.